economic down cycles as well. Great companies do not get disrupted by evolution in their customers' preferences or competitors or operational aspects of their business. Their management teams have strategies that deliver results better than their competition can. These great companies effectively separate themselves from competition using these strategies. Over time, they learn from their mistakes and increase the distance between themselves and their competition. Often, such companies appear conservative. However, they do not confuse conservatism with complacency. They simply bide their time before making the right move. These traits are rarely found outside great companies.

Why choose revenue growth and ROCE as the financial metrics to measure 'greatness'?

Charlie Munger, vice chairman of Berkshire Hathaway, stated in his lecture at the University of Southern California in 1994, 'Over the long term, it's hard for a stock to earn a much better return than the business which underlies it earns.'

Munger meant that the returns generated by any company's share price in the long term cannot be significantly more than the return on capital employed generated by the company in its day-to-day business.

He explained this with an example, 'If the business earns 6 per cent on capital over forty years and you hold it for those forty years, you're not going to make much different than a six percent return—even if you originally buy it at a huge discount. Conversely, if a business earns 18 per cent on capital over twenty or thirty years, even if you pay an expensive looking price, you'll end up with one hell of a result.'

Whilst there are several factors affecting short-term share price performance, as shown in the exhibit below, earnings is the biggest driver of stock market returns in the long run.